Development Issues of Indian Economy

MODULE 1 – INDIAN ECONOMY — LMS PDF

1. The Indian economy during the Pre-Independence period was mainly

A. Industrial

B. Service oriented

C. Agrarian

D. Technology based

Answer: C. Agrarian

2. “Drain of Wealth” theory was proposed by

A. Mahatma Gandhi

B. Dadabhai Naoroji

C. B.R. Ambedkar

D. R.C. Dutt

Answer: B. Dadabhai Naoroji

3. Deindustrialisation in India during British rule mainly affected

A. IT Sector

B. Handicrafts and Cottage Industries

C. Banking Sector

D. Tourism

Answer: B. Handicrafts and Cottage Industries

4. One major feature of the Indian economy before Independence was

A. High literacy rate

B. Advanced infrastructure

C. Widespread poverty

D. High export of manufactured goods

Answer: C. Widespread poverty

5. The primary objective of British economic policies in India was to

A. Develop Indian industries

B. Improve education

C. Serve British economic interests

D. Reduce poverty

Answer: C. Serve British economic interests

6. The main objective behind adopting economic planning in India after Independence was to

A. Increase military power

B. Achieve rapid economic growth and social justice

C. Promote luxury industries

D. Reduce population

Answer: B. Achieve rapid economic growth and social justice

7. The model of economy adopted by India during the Planning Era is known as

A. Capitalist Economy

B. Socialist Economy

C. Mixed Economy

D. Traditional Economy

Answer: C. Mixed Economy

8. The Green Revolution in India was mainly associated with the increase in production of

A. Cotton and Jute

B. Wheat and Rice

C. Tea and Coffee

D. Sugarcane and Rubber

Answer: B. Wheat and Rice

9. Public Sector Undertakings (PSUs) were mainly established to

A. Promote private profits

B. Control strategic and heavy industries

C. Reduce exports

D. Encourage foreign dominance

Answer: B. Control strategic and heavy industries

10. One major limitation of economic planning in India was

A. Increase in food production

B. Development of infrastructure

C. Bureaucratic delays and License Raj

D. Growth of education sector

Answer: C. Bureaucratic delays and License Raj

11. The New Economic Policy introduced in 1991 is commonly known as

A. Green Revolution

B. LPG Reforms

C. Five Year Plan

D. White Revolution

Answer: B. LPG Reforms

12. LPG stands for

A. Liberalisation, Privatisation, Globalisation

B. Labour, Production, Growth

C. Liberal Policy Governance

D. Local Private Growth

Answer: A. Liberalisation, Privatisation, Globalisation

13. Liberalisation mainly refers to

A. Increasing taxes

B. Reducing government controls and regulations

C. Nationalising industries

D. Reducing exports

Answer: B. Reducing government controls and regulations

14. Privatisation means

A. Transfer of ownership from private to government

B. Government control of all industries

C. Transfer of ownership from government to private sector

D. Closing public sector units

Answer: C. Transfer of ownership from government to private sector

15. One major objective of Globalisation is to

A. Restrict foreign trade

B. Increase trade and investment across countries

C. Reduce competition

D. Promote only domestic markets

Answer: B. Increase trade and investment across countries

16. Real Income mainly refers to

A. Income at current market prices

B. Income adjusted for inflation

C. Income before tax

D. Income from foreign trade

Answer: B. Income adjusted for inflation

17. Per Capita Income is calculated by

A. GDP × Population

B. National Income ÷ Population

C. Population ÷ National Income

D. GDP ÷ Exports

Answer: B. National Income ÷ Population

18. Purchasing Power decreases when

A. Prices fall

B. Inflation rises

C. Income increases

D. Population decreases

Answer: B. Inflation rises

19. Which of the following is a limitation of using income as the sole indicator of development?

A. Shows production level

B. Measures export growth

C. Ignores income inequality

D. Reflects purchasing power

Answer: C. Ignores income inequality

20. Real GDP is preferred over Nominal GDP because it

A. Uses foreign exchange rates

B. Includes only agriculture

C. Adjusts for price changes

D. Measures only services

Answer: C. Adjusts for price changes

21. Life Expectancy mainly indicates

A. Industrial growth

B. Average years a person is expected to live

C. Literacy level

D. Export performance

Answer: B. Average years a person is expected to live

22. Infant Mortality Rate measures

A. Death rate of adults

B. Number of hospital beds

C. Deaths of infants under one year per 1,000 births

D. Population growth rate

Answer: C. Deaths of infants under one year per 1,000 births

23. Literacy Rate refers to

A. Number of schools in a country

B. Percentage of people who can read and write

C. College enrolment ratio

D. Number of teachers employed

Answer: B. Percentage of people who can read and write

24. Skill Development mainly helps in

A. Reducing inflation

B. Increasing government revenue

C. Improving employability and productivity

D. Controlling population

Answer: C. Improving employability and productivity

25. Health and Education together contribute to

A. Fiscal deficit

B. Human Capital Formation

C. Trade imbalance

D. Exchange rate stability

Answer: B. Human Capital Formation

26. Which of the following is considered a hidden form of unemployment common in agriculture?

A. Open unemployment

B. Seasonal unemployment

C. Disguised unemployment

D. Educated unemployment

Answer: C. Disguised unemployment

27. Income inequality can hinder economic development because

A. It always increases national income

B. It reduces aggregate demand and social cohesion

C. It guarantees equitable access to resources

D. It encourages industrial growth

Answer: B. It reduces aggregate demand and social cohesion

28. Population pressure becomes a problem when

A. Labour force is adequately employed

B. Population grows faster than available resources and infrastructure

C. Urban areas are well-planned

D. Birth and death rates are equal

Answer: B. Population grows faster than available resources and infrastructure

29. Which of the following is an example of infrastructure deficit?

A. Unequal income distribution

B. Lack of sufficient roads, electricity, and hospitals

C. High inflation rate

D. Seasonal unemployment

Answer: B. Lack of sufficient roads, electricity, and hospitals

30. Regional imbalance in economic development refers to

A. Equal income levels across all regions

B. Unequal growth and development between regions

C. Shortage of natural resources

D. High population density

Answer: B. Unequal growth and development between regions

31. Which of the following statements correctly distinguishes economic growth from economic development?

A. Economic growth focuses on improving people's well-being, while economic development measures output.

B. Economic growth measures the increase in production, while economic development includes improvements in living standards.

C. Economic growth and economic development are exactly the same and interchangeable.

D. Economic growth considers social justice, while economic development only considers GDP.

Answer: B. Economic growth measures the increase in production, while economic development

32. Why is understanding the difference between economic growth and economic development important?

A. Because growth automatically ensures development.

B. Because it helps evaluate whether economic expansion is improving citizens' lives.

C. Because development is only about numbers.

D. Because only developed countries need economic growth.

Answer: B. Because it helps evaluate whether economic expansion is improving citizens' lives.

33. Which of the following best represents economic growth?

A. Increase in literacy rates and health facilities

B. Higher life expectancy and better healthcare

C. Rise in GDP and total production of goods and services

D. Reduction in poverty and income inequality

Answer: C. Rise in GDP and total production of goods and services

34. Which of the following is NOT a focus of economic development?

A. Employment opportunities

B. Social justice and equality

C. Increasing GDP alone

D. Health and education

Answer: C. Increasing GDP alone

MODULE 1 – INDIAN ECONOMY — LMS VIDEO

35. Which of the following statement correctly distinguish between economic growth and economic development?

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38. Which of the following is not a focus of economic development?

A. Economic opportunity

B. Social justice and equity

C. Increase in GDP alone

D. Health and education

Answer: C. Increase in GDP alone

39. What does the phrase “growth is about numbers, development is about life” imply?

A. Growth is only important for developing countries.

B. Development measures only the economy size.

C. Economic growth measures output while development measures the improvement in quality of life.

D. Economic growth automatically improves health and education.

Answer: C. Economic growth measures output while development measures the improvement in quality of life.

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B. Service oriented

C. Agrarian

D. Technology based

Answer: C. Agrarian

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D. R. C. Dutta

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A. IT sector

B. Craft and cottage industries

C. Banking sectors

D. Tourism

Answer: B. Craft and cottage industries

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B. Advanced infrastructure

C. Widespread poverty

D. High export of manufactured commodities

Answer: C. Widespread poverty

44. The primary objective of British economic policies in India was to:

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B. Improve education

C. Serve British economic interests

D. Poverty reduction

Answer: C. Serve British economic interests

45. The main objective behind adopting economic planning in India after independence was to:

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C. Promote luxury industries

D. Reduce population

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C. Mixed economy

D. Traditional economy

Answer: C. Mixed economy

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B. Wheat and rice

C. Tea and coffee

D. Sugarcane

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B. Control strategic and heavy industries

C. Reduce exports

D. Encourage foreign dominance

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A. Increase in food production

B. Development of infrastructure

C. Bureaucratic delay and license system

D. Growth of education sectors

Answer: C. Bureaucratic delay and license system

50. The New Economic Policy introduced in 1991 is commonly known as:

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B. LPG Reform

C. Five-Year Plans

D. Industrial Revolution

Answer: B. LPG Reform

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A. Liberalization, Privatization, Globalization

B. Labor Production Growth

C. Liberal Policy Governance

D. Local Private Growth

Answer: A. Liberalization, Privatization, Globalization

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B. Reducing government control and regulations

C. Nationalizing industries

D. Reducing exports

Answer: B. Reducing government control and regulations

53. Life expectancy mainly indicates:

A. Industrial growth

B. Average years a person is expected to live

C. Literacy rate

D. Export performance

Answer: B. Average years a person is expected to live

54. Infant mortality rate measures:

A. Death rate of adults

B. Number of hospital beds

C. Deaths of infants under one year per thousand births

D. Population growth rate

Answer: C. Deaths of infants under one year per thousand births

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A. Number of schools in a country

B. Percentage of people who can read and write

C. College enrollment ratio

D. Number of teachers employed

Answer: B. Percentage of people who can read and write

56. Skill development mainly helps in:

A. Reducing inflation

B. Increasing government revenue

C. Improving employability and productivity

D. Controlling population

Answer: C. Improving employability and productivity

57. Health and education together contribute to:

A. Physical deficit

B. Human capital formation

C. Trade imbalances

D. Exchange rate stability

Answer: B. Human capital formation

58. Which of the following is considered a hidden form of unemployment common in agriculture?

A. Open unemployment

B. Seasonal unemployment

C. Disguised unemployment

D. Educated unemployment

Answer: C. Disguised unemployment

59. Income inequality can hinder economic development because:

A. It always increases national income

B. It reduces aggregate demand and social cohesion

C. It generates equitable access to resources

D. It encourages industrial growth

Answer: B. It reduces aggregate demand and social cohesion

60. Population pressure becomes a problem when:

A. Labour force is adequately employed

B. Population grows faster than available resources and infrastructure

C. Population urban areas are well planned

D. Birth and death rates are equal

Answer: B. Population grows faster than available resources and infrastructure

61. NITI Aayog was established in the year:

A. 1991

B. 2005

C. 2015

D. 2020

Answer: C. 2015

62. The primary function of RBI is to:

A. Conduct population census

B. Control money supply and regulate banking

C. Provide school education

D. Manage agricultural production

Answer: B. Control money supply and regulate banking

63. The Finance Commission is constituted under which Article of the Indian Constitution?

A. Article 110

B. Article 280

C. Article 356

D. Article 370

Answer: B. Article 280

64. Public sector enterprises are mainly established to:

A. Maximum private profit only

B. Promote social welfare and strategic economic development

C. Eliminate government control

D. Increase foreign exchange only

Answer: B. Promote social welfare and strategic economic development

65. Which institution ensures enforcement of law and protection of property rights in the economy?

A. SEBI

B. NITI Aayog

C. Judiciary

D. Planning Commission

Answer: C. Judiciary

66. MGNREGA primarily aims to provide:

A. Free education

B. Guaranteed rural employment

C. Industrial subsidies

D. Export promotion

Answer: B. Guaranteed rural employment

67. Under MGNREGA, rural households are guaranteed a minimum of:

A. 50 days of work

B. 75 days

C. 100 days

D. 150 days

Answer: C. 100 days

68. The Public Distribution System mainly ensures:

A. Industrial growth

B. Food security

C. Foreign investment

D. Urban employment

Answer: B. Food security

MODULE 2 – POVERTY — LMS PDF

69. Which of the following best defines poverty in a multidimensional context?

A. A lack of financial resources to meet basic living needs

B. A condition where individuals can afford basic necessities but lack social inclusion

C. A state of deprivation that limits an individual's capacity to attain a minimally acceptable standard of living

D. A temporary situation affecting only a small part of the population

Answer: C. A state of deprivation that limits an individual's capacity to attain a minimally acceptable standard of living

70. According to Amartya Sen's 'Capability Approach,' what is the primary focus when measuring poverty?

A. The amount of financial resources available to an individual

B. The ability to lead a life that one has reason to value

C. The societal standards for living

D. The number of basic necessities one can afford

Answer: B. The ability to lead a life that one has reason to value

71. Which of the following statements about absolute and relative poverty is true?

A. Absolute poverty is defined by changeable income thresholds.

B. Relative poverty helps determine whether incomes have increased over time.

C. Absolute poverty uses fixed income thresholds that do not change over time.

D. Relative poverty measures are less effective than absolute poverty measures.

Answer: C. Absolute poverty uses fixed income thresholds that do not change over time.

72. The Multidimensional Poverty Index (MPI) considers which of the following dimensions?

A. Access to job opportunities

B. Health, education, and living standards

C. Cultural participation and social mobility

D. Financial literacy and savings rates

Answer: B. Health, education, and living standards

73. What distinguishes economic poverty from capability poverty?

A. Economic poverty focuses solely on material deprivation, while capability poverty includes social exclusion.

B. Economic poverty is measured by consumption levels, while capability poverty is based on individual choices.

C. Economic poverty addresses income levels, whereas capability poverty relates to the ability to lead a valued life.

D. Economic poverty is a temporary state, while capability poverty is a chronic condition.

Answer: C. Economic poverty addresses income levels, whereas capability poverty relates to the ability to lead a valued life.

74. Which organization is responsible for the calculation of the poverty line in India using data collected by the National Sample Survey Office (NSSO)?

A. Planning Commission

B. NITI Aayog

C. Indian Statistical Institute

D. Ministry of Finance

Answer: B. NITI Aayog

75. What is the primary reason for using consumption expenditure as a measure for estimating poverty rather than income levels?

A. Income data is easier to collect than consumption data.

B. Consumption patterns are more stable compared to income.

C. It provides more accurate information about people's earnings.

D. Consumption data is unavailable for the majority of households.

Answer: B. Consumption patterns are more stable compared to income.

76. What method was introduced by the NSSO to address the limitations of the Uniform Reference Period (URP) for estimating poverty?

A. Mixed Reference Period (MRP)

B. Continuous Reference Period (CRP)

C. Fixed Reference Period (FRP)

D. Variable Reference Period (VRP)

Answer: A. Mixed Reference Period (MRP)

77. According to the Tendulkar Committee recommendations, which approach should be used for poverty estimation?

A. Income-based approach

B. Consumption expenditure-based approach

C. Market-based approach

D. Combined income and consumption approach

Answer: B. Consumption expenditure-based approach

78. What was a significant limitation of the URP method in estimating poverty?

A. It requires complex data processing.

B. It captures infrequent expenditures accurately.

C. It uses a 365-day recall period for all items.

D. It tends to underestimate total consumption expenditure.

Answer: D. It tends to underestimate total consumption expenditure.

79. What does the Human Development Report (1997) primarily argue about traditional poverty lines?

A. They are effective in measuring all aspects of poverty.

B. They can be manipulated by governments to show declining poverty levels.

C. They provide a complete understanding of human deprivation.

D. They are universally accepted by economists.

Answer: B. They can be manipulated by governments to show declining poverty levels.

80. According to the Multidimensional Poverty Index (MPI), which of the following dimensions is NOT included?

A. Education

B. Health

C. Housing quality

D. Living standards

Answer: C. Housing quality

81. How is the Multidimensional Poverty Index (MPI) calculated?

A. By averaging the income levels of poor households.

B. By summing the deprivations across its three dimensions and dividing by total indicators.

C. By identifying the percentage of households that are impoverished based on income.

D. By considering only the health indicators of a population.

Answer: B. By summing the deprivations across its three dimensions and dividing by total indicators.

82. Which of the following statements about the National Multidimensional Poverty Index (NMPI) in India is TRUE?

A. It excludes the indicator of maternal health from its calculations.

B. It uses a dual-cut-off counting method based on the Alkire-Foster methodology.

C. It measures only income as a determinant of poverty.

D. It has no correlation with the global MPI model.

Answer: B. It uses a dual-cut-off counting method based on the Alkire-Foster methodology.

83. What significant change in poverty levels in India was reported in the Progress Review 2023?

A. An increase in the poverty headcount ratio from 29.17% to 35%.

B. A decline in the poverty headcount ratio from 29.17% in 2013-14 to 11.28% in 2022-2023.

C. A reduction in the severity of poverty without changes in incidence.

D. A stable poverty headcount ratio over the last decade.

Answer: B. A decline in the poverty headcount ratio from 29.17% in 2013-14 to 11.28% in 2022-2023.

84. Which methodology was adopted by the Indian government in 2005 to measure poverty?

A. The calorie-based approach

B. The Multidimensional Poverty Index

C. The Tendulkar methodology

D. The World Bank’s $1.25 per day measure

Answer: C. The Tendulkar methodology

85. According to the 2011 estimates of the World Bank, what percentage of the Indian population lived below the poverty line of $1.25 per day?

A. 21.9%

B. 23.6%

C. 27.5%

D. 30.0%

Answer: B. 23.6%

86. What percentage of India's GDP is spent on health, which is significantly lower than that of China?

A. 1%

B. 2%

C. 3%

D. 4%

Answer: A. 1%

87. What is the current definition of extreme poverty according to the World Bank's International Poverty Line?

A. $1.25 per person per day

B. $2.15 per person per day

C. $3.65 per person per day

D. $6.85 per person per day

Answer: B. $2.15 per person per day

88. Which of the following states showed the highest percentage reduction in the rural poverty headcount ratio between FY12 and FY23 according to the RBI study?

A. Uttar Pradesh

B. Himachal Pradesh

C. Bihar

D. Maharashtra

Answer: B. Himachal Pradesh

89. Which of the following programmes was initiated in the 1970s as a direct approach to combat poverty in rural areas of India?

A. Integrated Rural Development Programme (IRDP)

B. National Rural Employment Programme (NREP)

C. Crash Scheme for Rural Employment (CSRE)

D. Swarnajayanti Gram Swarozgar Yojana (SGSY)

Answer: C. Crash Scheme for Rural Employment (CSRE)

90. The Integrated Rural Development Programme (IRDP) was initially launched in which year?

A. 1983

B. 1978-79

C. 1970

D. 1991

Answer: B. 1978-79

91. What was the primary objective of the Rural Landless Employment Guarantee Programme (RLEGP) when it was launched?

A. To provide subsidies to large landowners

B. To expand employment opportunities for rural landless individuals

C. To improve agricultural productivity through technology

D. To create urban job opportunities

Answer: B. To expand employment opportunities for rural landless individuals

92. Which of the following statements best describes the outcome of the IRDP according to evaluations?

A. It effectively reduced poverty across all demographics in India.

B. It was restructured and renamed due to its lack of effectiveness.

C. It was primarily focused on urban poverty alleviation.

D. It has been merged with multiple other successful programmes.

Answer: B. It was restructured and renamed due to its lack of effectiveness.

93. What is a primary characteristic of high-poverty groups in India?

A. High levels of regular wage employment

B. Access to quality healthcare and education

C. Extremely low and unstable incomes

D. Ownership of productive assets

Answer: C. Extremely low and unstable incomes

94. Which factor contributes significantly to the high poverty rates among Scheduled Tribes (STs) in India?

A. High levels of formal education

B. Geographic isolation from basic services

C. Equal access to government institutions

D. Strong community networks for financial support

Answer: B. Geographic isolation from basic services

95. In the context of high-poverty groups, what does "binding liquidity and credit constraints" refer to?

A. Access to affordable educational programs

B. The inability to smooth consumption during economic shocks

C. High levels of savings among poor households

D. Frequent employment opportunities in formal markets

Answer: B. The inability to smooth consumption during economic shocks

96. What is a significant barrier to employment faced by Scheduled Castes (SCs) in India?

A. High levels of job training and skill development

B. Discrimination based on caste status

C. Abundant access to financial capital

D. Efficient implementation of welfare programs

Answer: B. Discrimination based on caste status

97. Which of the following statements about rural poverty in India is true?

A. Most of the rural poor are engaged in formal employment.

B. The majority of rural poor are women and children.

C. Rural poverty is primarily confined to urban slums.

D. Rural areas have higher levels of access to education compared to urban areas.

Answer: B. The majority of rural poor are women and children.

MODULE 2 – POVERTY — LMS VIDEOS

98. Human poverty includes deprivation in:

A. Health, education and living standards

B. Imports and exports

C. Foreign exchange reserves

D. Stock market participation

Answer: A. Health, education and living standards

99. Poverty gap measures:

A. Number of poor people

B. Difference between average income and national income

C. Shortfall of poor from poverty line

D. Income inequality among rich people

Answer: C. Shortfall of poor from poverty line

100. Multidimensional Poverty Index (MPI) primarily measures poverty based on:

A. Income and consumption only

B. Health, Education and Living Standards

C. Employment and wages only

D. GDP per capita

Answer: B. Health, Education and Living Standards

101. Which of the following is NOT a dimension used in the Global MPI?

A. Years of schooling

B. Child mortality

C. Electricity access

D. Stock market participation

Answer: D. Stock market participation

102. Which Sustainable Development Goal (SDG) is directly related to eliminating poverty?

A. SDG 4 – Quality Education

B. SDG 8 – Decent Work

C. SDG 1 – No Poverty

D. SDG 13 – Climate Action

Answer: C. SDG 1 – No Poverty

103. Income-based measurement of poverty classifies a household as poor when:

A. Its consumption expenditure is below average

B. Its income falls below the predetermined poverty line

C. It lacks access to sanitation

D. Its wealth is less than national average

Answer: B. Its income falls below the predetermined poverty line

104. One major advantage of income-based poverty measurement is that it:

A. Captures multidimensional deprivation

B. Reflects psychological well-being

C. Is directly linked to labor market earnings

D. Eliminates income inequality

Answer: C. Is directly linked to labor market earnings

105. Who chaired the Tendulkar Committee?

A. C. Rangarajan

B. Suresh D. Tendulkar

C. Montek Singh Ahluwalia

D. Amartya Sen

Answer: B. Suresh D. Tendulkar

106. Which NSSO round did Rangarajan primarily use?

A. 61st

B. 66th

C. 55th

D. 68th (70th as context in option D)

Answer: D. 68th (70th as context in option D)

107. A primary objective of Rangarajan was to:

A. Focus solely on calorie intake

B. Update poverty lines reflecting contemporary consumption and urban costs

C. Eliminate all welfare schemes

D. Ignore urban poverty

Answer: B. Update poverty lines reflecting contemporary consumption and urban costs

108. Rangarajan estimate for poverty ratio in 2011–12 (as given):

A. 27.5%

B. 21.9%

C. 12.4%

D. 29.5% (given as 30% / option D variant)

Answer: D. 29.5% (given as 30% / option D variant)

109. What key differences between these two committees were highlighted?

A. Tendulkar ignored non-food expenditures

B. Rangarajan updated estimates using recent data and emphasised urban costs

C. Tendulkar focused exclusively on urban poverty

D. Rangarajan relied only on calorie norms without consumption data

Answer: B. Rangarajan updated estimates using recent data and emphasised urban costs

110. Key difference highlighted (Tendulkar vs Rangarajan):

A. Tendulkar ignored non-food expenditures

B. Rangarajan updated estimates using recent data and emphasised urban costs

C. Tendulkar focused exclusively on urban poverty

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Answer: B. Rangarajan updated estimates using recent data and emphasised urban costs

111. Which of the following statements about rural poverty in India is correct?

A. Rural poverty has always been lower than urban poverty.

B. Rural poverty is mainly driven by dependence on agriculture and low productivity.

C. Rural poverty does not depend on access to health, education, or infrastructure.

D. Rural poverty increased in all regions during the 1980s–1990s.

Answer: B. Rural poverty is mainly driven by dependence on agriculture and low productivity.

112. Poverty ratio refers to:

A. Total population of the country

B. percentage of population below poverty line

C. Number of unemployed persons

D. Population growth rate

Answer: B. percentage of population below poverty line

113. MGNREGA guarantees at least ..... Days of wage employment per year to rural household:

A. 50

B. 75

C. 200

D. 100

Answer: D. 100

114. Which programme was launched to provide guarantee-based employment in rural India?

A. PMGSY

B. SGSY

C. MGNREGA

D. DAYNULM

Answer: C. MGNREGA

115. Which of the following is an example of a multidimensional aspect of poverty?

A. Household income alone

B. Access to education, health, sanitation, and housing

C. Agricultural productivity only

D. Seasonal employment in rural areas

Answer: B. Access to education, health, sanitation, and housing

116. Which government program launched post-2014 primarily aimed at providing affordable housing to the urban poor?

A. PMAY-Urban

B. PMJDY

C. MGNREGA

D. IRDP

Answer: A. PMAY-Urban

117. During Phase II (1980s–1990s) of poverty reduction in India, which program primarily contributed to rural employment?

A. Swachh Bharat Mission

B. MGNREGA

C. Jawahar Rozgar Yojana (JRY)

D. Pradhan Mantri Jan Dhan Yojana

Answer: C. Jawahar Rozgar Yojana (JRY)

118. Which of the following is a key limitation of income-based measurement in developing countries like India?

A. Income data is too stable

B. Income is always overestimated

C. Large informal sector leads to underreporting of income

D. It includes too many social indicators

Answer: C. Large informal sector leads to underreporting of income

119. Income-based poverty measurement may overestimate poverty because it does NOT consider:

A. Government taxation

B. Consumption smoothing through borrowing and savings

C. Labor productivity

D. Wage rates

Answer: B. Consumption smoothing through borrowing and savings

120. The international poverty line expressed in PPP dollars is mainly used by which organisation?

A. Reserve Bank of India

B. NITI Aayog

C. World Trade Organisation

D. World Bank

Answer: D. World Bank

121. Under the Uniform Reference Period (URP), the recall period used for all consumption items is:

A. 7 days

B. 15 days

C. 30 days

D. 365 days

Answer: C. 30 days

122. The Mixed Reference Period (MRP) method uses a 365-day recall period primarily for:

A. Food items

B. Fuel and electricity

C. Frequently purchased goods

D. Infrequently purchased goods such as clothing and durable

Answer: D. Infrequently purchased goods such as clothing and durable

123. The major limitation of URP is:

A. Overestimation of durable goods expenditure

B. Underestimation of low-frequency consumption items

C. Use of multiple recall periods

D. High survey complexity

Answer: B. Underestimation of low-frequency consumption items

124. Absolute poverty refers to:

A. Poverty relative to average income

B. Inability to meet minimum basic needs

C. Inequality in income distribution

D. Social exclusion only

Answer: B. Inability to meet minimum basic needs

125. Which component of poverty is most directly linked to intergenerational poverty?

A. Housing

B. Education

C. Nutrition

D. Health

Answer: B. Education

126. The Headcount Ratio measures:

A. Depth of poverty

B. Severity of poverty

C. Proportion of population below poverty line

D. Inequality among the poor

Answer: C. Proportion of population below poverty line

127. Poverty Gap Index primarily measures:

A. Number of poor people

B. Distance of the poor from the poverty line

C. Income inequality

D. Relative poverty

Answer: B. Distance of the poor from the poverty line

128. Poverty measured in terms of minimum subsistence requirement known as:

A. Relative poverty

B. Human Poverty

C. Absolute poverty

D. Urban poverty

Answer: C. Absolute poverty

129. Which economist developed the capability approach to understanding poverty?

A. Milton Friedman

B. Amartya Sen

C. J M Keynes

D. Thomas Malthus

Answer: B. Amartya Sen

130. Poverty is often described as a deprivation of:

A. Income only

B. Wealth only

C. Basic capabilities and opportunities

D. Employment only

Answer: C. Basic capabilities and opportunities

131. Absolute poverty focus on:

A. Difference between rich and poor

B. Minimum living standards required for survival

C. Distribution of wealth

D. Economic growth

Answer: B. Minimum living standards required for survival

132. Chronic poverty refers to:

A. Temporary poverty

B. Poverty lasts for short period

C. Long term persistent poverty

D. Seasonal poverty

Answer: C. Long term persistent poverty

133. Multidimensional Poverty Index (MPI) primary measures poverty based on:

A. Income and consumption only

B. Health, Education and Living Standards

C. Employment and wages only

D. GDP per capita

Answer: B. Health, Education and Living Standards

134. The global Multidimensional Poverty Index (MPI) is published by:

A. World Bank and IMF

B. NITI Aayog and RBI

C. United Nations Development Programme (UNDP) and Oxford Poverty and Human Development Initiative (OPHI)

D. WTO and FAO

Answer: C. United Nations Development Programme (UNDP) and Oxford Poverty and Human

MODULE 3 – INEQUALITY — LMS PDF

135. What does income inequality primarily refer to in an economy?

A. The equal distribution of wealth among all individuals.

B. A situation where a small section of the population has a much larger share of income than the majority.

C. The improvement of living standards for all individuals in a society.

D. A decline in the number of wealthy individuals in a country.

Answer: B. A situation where a small section of the population has a much larger share of

136. According to the study by Thomas Piketty and Lucas Chancel, what was the share of national income for the top 1% in 2013-14?

A. 6.2%

B. 20.7%

C. 12.26%

D. 21.7%

Answer: D. 21.7%

137. Which of the following factors is NOT a cause of income inequality in India as discussed in the provided material?

A. Rising capital intensity of technology favoring skilled labor.

B. Government policies that intentionally reduce wealth concentration.

C. Urban bias in private investment leading to unequal opportunities.

D. Inflation eroding the real income of the working class.

Answer: B. Government policies that intentionally reduce wealth concentration.

138. How did economic reforms initiated in India from the 1980s onwards impact income inequality?

A. They resulted in improved conditions for the poor across the country.

B. They led to a dramatic increase in income inequality favouring the wealthy.

C. They completely eliminated poverty in urban areas.

D. They had no significant impact on income distribution.

Answer: B. They led to a dramatic increase in income inequality favouring the wealthy.

139. What role does the government play in perpetuating income inequality according to the discussed material?

A. The government actively redistributes wealth to ensure equality.

B. The government supports private investments that favor wealthy individuals.

C. The government provides equal opportunities for all citizens.

D. The government has no influence on economic conditions.

Answer: B. The government supports private investments that favor wealthy individuals.

140. What does the Gini coefficient measure in the context of income distribution?

A. The total income of the top 10 percent of earners

B. The ratio of the average income of the richest 10 percent to the average income of the bottom 10 percent

C. The degree of income inequality within a population

D. The overall economic growth of a country

Answer: C. The degree of income inequality within a population

141. Which of the following is true regarding the Lorenz curve?

A. It indicates total income in a country.

B. It can cross another Lorenz curve, providing clear information about income equality.

C. A curve that lies above another indicates a more equal income distribution.

D. It solely measures the income of the top 1percent of earners.

Answer: C. A curve that lies above another indicates a more equal income distribution.

142. Which of the following methods is used to calculate the range of income inequality?

A. The difference between the lowest and highest income observations.

B. The average income of all households.

C. The sum of the incomes of the bottom 50 percent of earners.

D. The median income of the population.

Answer: A. The difference between the lowest and highest income observations.

143. Which statement best describes the McLoone Index?

A. It compares the income of the richest 10 percent to the poorest 10 percent.

B. It divides the sum of all incomes below the median by the median income.

C. It is a measure that only considers the top 20 percent of earners.

D. It indicates the total income of a country.

Answer: B. It divides the sum of all incomes below the median by the median income.

144. What is a significant limitation of the Gini coefficient?

A. It cannot be used for urban versus rural income studies.

B. It does not account for demographic variations among subgroups.

C. It only measures income from employment sources.

D. It is easily decomposable into subgroups.

Answer: B. It does not account for demographic variations among subgroups.

145. What is the primary focus of the Ahluwalia-Chenery Welfare Index?

A. Maximizing GNI growth rates

B. Assessing income distribution and social welfare

C. Measuring national product output

D. Analysing unemployment rates

Answer: B. Assessing income distribution and social welfare

146. In the context of the Ahluwalia-Chenery Welfare Index, what can a rising GNI per capita potentially indicate?

A. Improved welfare for all income classes

B. Disproportionate benefits to the wealthy while the poor remain unaffected

C. Equal income distribution across the population

D. Increased taxation on the wealthy

Answer: B. Disproportionate benefits to the wealthy while the poor remain unaffected

147. When calculating the weighted index of social welfare using quintiles, if the weights add up to less than one, what is the implication?

A. The calculation is valid and reflects social welfare accurately

B. It indicates a flaw in the measurement of income distribution

C. The welfare index will always be less than the GNI growth rate

D. The welfare index cannot be calculated accurately

Answer: B. It indicates a flaw in the measurement of income distribution

148. How does the poverty-weighted index differ from the GNI-weighted index in its analysis?

A. It solely focuses on the top 20 percent of income earners

B. It places higher importance on the income growth of the lowest income groups

C. It disregards the income growth of the middle class

D. It uses the same weights for all quintiles regardless of income share

Answer: B. It places higher importance on the income growth of the lowest income groups

149. Based on the Ahluwalia-Chenery Welfare Index, which scenario would most likely result in a higher social welfare index?

A. A country where the top income quintile grows significantly while the others remain stagnant

B. A country where income grows equally across all quintiles

C. A country where only the middle-class experiences income growth

D. A country that prioritizes GNI growth over equitable income distribution

Answer: B. A country where income grows equally across all quintiles

150. Which index is commonly used to measure income inequality?

A. Human Development Index

B. Gini Coefficient

C. Consumer Price Index

D. Wholesale Price Index

Answer: B. Gini Coefficient

151. Income inequality refers to

A. Differences in population growth

B. Differences in earnings and income distribution

C. Differences in climate

D. Differences in production methods

Answer: B. Differences in earnings and income distribution

152. According to the World Inequality Database, the income share of the top 1% in India has

A. Decreased significantly

B. Remained constant

C. Increased sharply

D. Disappeared

Answer: C. Increased sharply

153. Which organization publishes the Human Development Report?

A. IMF

B. World Bank

C. UNDP

D. WTO

Answer: C. UNDP

154. Wealth inequality refers to unequal distribution of

A. Population

B. Assets and property

C. Employment

D. Exports

Answer: B. Assets and property

MODULE 3 – INEQUALITY — LMS VIDEOS / ADDITIONAL MCQs

155. Which of the following programmes provides a legal guarantee of wage employment in rural areas?

A. Pradhan Mantri Mudra Yojana

B. Skill India Mission

C. Mahatma Gandhi National Rural Employment Guarantee Act

D. Pradhan Mantri Kaushal Vikas Yojana

Answer: C. Mahatma Gandhi National Rural Employment Guarantee Act

156. Under Pradhan Mantri Mudra Yojana, loans up to ■50,000 are classified under

A. Tarun

B. Kishore

C. Shishu

D. Pragati

Answer: C. Shishu

157. The primary objective of the Mahatma Gandhi National Rural Employment Guarantee Act is to

A. Promote large-scale industrialization

B. Provide 100 days of guaranteed wage employment to rural households

C. Offer urban self-employment loans

D. Promote export-led growth

Answer: B. Provide 100 days of guaranteed wage employment to rural households

158. Pradhan Mantri Kaushal Vikas Yojana mainly focuses on

A. Providing free higher education

B. Granting agricultural subsidies

C. Skill training and certification for youth

D. Public sector recruitment

Answer: C. Skill training and certification for youth

159. Which of the following is a major objective of the Skill India Mission?

A. Reducing fiscal deficit

B. Enhancing employability through industry-relevant skills

C. Privatizing public enterprises

D. Increasing import substitution

Answer: B. Enhancing employability through industry-relevant skills

160. Which type of taxation helps reduce income inequality?

A. Regressive taxation

B. Progressive taxation

C. Indirect taxation

D. Proportional taxation

Answer: B. Progressive taxation

161. The Public Distribution System (PDS) aims to

A. Increase exports

B. Provide subsidized food grains to the poor

C. Increase industrial production

D. Reduce imports

Answer: B. Provide subsidized food grains to the poor

162. Which government policy focuses on providing financial assistance to farmers?

A. PM-KISAN

B. GST

C. Digital India

D. Make in India

Answer: A. PM-KISAN

163. The main objective of social welfare programmes is to

A. Increase income inequality

B. Promote social justice and reduce poverty

C. Increase inflation

D. Encourage monopolies

Answer: B. Promote social justice and reduce poverty

164. A straight diagonal line in the Lorenz Curve indicates

A. Perfect inequality

B. High poverty

C. Perfect equality

D. Economic recession

Answer: C. Perfect equality

165. Reducing income inequality is important for

A. Luxury living

B. Inclusive and balanced development

C. Increasing imports

D. Reducing population

Answer: B. Inclusive and balanced development

166. High income inequality can lead to

A. Social stability

B. Equal opportunities

C. Poverty and social unrest

D. Decrease in education

Answer: C. Poverty and social unrest

167. Which of the following is a common daily life example of income inequality?

A. Weather change

B. Salary gap between jobs

C. Festival celebrations

D. Population growth

Answer: B. Salary gap between jobs

168. Rural–urban income gap occurs mainly because

A. Villages have more industries

B. Cities have fewer jobs

C. Urban areas have more employment opportunities

D. Villages have better infrastructure

Answer: C. Urban areas have more employment opportunities

169. Which sector generally provides the lowest and most uncertain income in India?

A. Services

B. Industry

C. Agriculture

D. Banking

Answer: C. Agriculture

170. The digital divide contributes to the urban–rural income gap because

A. Both areas have equal internet access

B. Rural areas have more technology

C. Urban areas usually have better access to digital tools and internet

D. Technology reduces education

Answer: C. Urban areas usually have better access to digital tools and internet

171. Migration from rural to urban areas usually happens because

A. Higher rainfall in cities

B. Better employment and income prospects

C. Lower cost of living in cities

D. Lack of agriculture in villages

Answer: B. Better employment and income prospects

172. Which sector is the main source of income in most rural areas?

A. Information Technology

B. Banking

C. Agriculture

D. Aviation

Answer: C. Agriculture

173. One major reason urban areas have higher income levels is

A. Lower population

B. Better infrastructure and job opportunities

C. Less education

D. Fewer industries

Answer: B. Better infrastructure and job opportunities

174. Gender inequality contributes to income inequality mainly through

A. Higher population growth

B. Wage gaps and limited career opportunities

C. Increased exports

D. Lower literacy rates only

Answer: B. Wage gaps and limited career opportunities

175. The urban–rural divide mainly refers to

A. Difference in climate

B. Difference in income and opportunities between cities and villages

C. Population growth

D. Increase in exports

Answer: B. Difference in income and opportunities between cities and villages

176. Gender inequality contributes to income inequality because

A. Women earn more than men

B. Women have equal wages everywhere

C. Women often receive lower wages and fewer opportunities

D. Women work only in agriculture

Answer: C. Women often receive lower wages and fewer opportunities

177. Which of the following helps reduce income inequality?

A. Concentration of wealth

B. Limited education access

C. Inclusive growth and welfare policies

D. Occupational rigidity

Answer: C. Inclusive growth and welfare policies

178. In the Lorenz Curve graph, the horizontal axis represents

A. Percentage of income

B. Percentage of population

C. Price level

D. Tax rate

Answer: B. Percentage of population

179. The Lorenz Curve is mainly used to show

A. Population growth

B. Income or wealth distribution

C. Inflation rate

D. Employment level

Answer: B. Income or wealth distribution

180. Regional imbalance in development means

A. Equal growth of all regions

B. Growth only in rural areas

C. Unequal economic progress among different regions

D. Decrease in agricultural production

Answer: C. Unequal economic progress among different regions

181. Which factor directly limits earning potential due to lack of job opportunities?

A. Inflation

B. Unemployment

C. Urbanization

D. Globalization

Answer: B. Unemployment

UNEMPLOYMENT — LMS VIDEO MCQs

182. Educated unemployment is characterised by

A. People with formal education being unable to find suitable jobs

B. Lack of jobs during off-season

C. Workers being underemployed on farms

D. Short-term layoffs due to recession

Answer: A. People with formal education being unable to find suitable jobs

183. A person is considered unemployed only if he/she

A. Has no income

B. Is actively seeking work

C. Is below 18 years

D. Works part-time

Answer: B. Is actively seeking work

184. Which type of unemployment occurs when workers are willing to work but cannot find any job at all?

A. Disguised unemployment

B. Open unemployment

C. Frictional unemployment

D. Seasonal unemployment

Answer: B. Open unemployment

185. Disguised unemployment is mainly found in

A. Space industry

B. Agriculture sector

C. Banking sector

D. Aviation sector

Answer: B. Agriculture sector

186. Labour Force consists of

A. Only employed persons

B. Only unemployed persons

C. Employed + Unemployed persons seeking work

D. Total population

Answer: C. Employed + Unemployed persons seeking work

187. Underemployment means

A. Total absence of work

B. Working more than required

C. Working below one’s skill or fewer hours than desired

D. Refusal to work

Answer: C. Working below one’s skill or fewer hours than desired

188. Seasonal unemployment occurs due to

A. Technological advancement

B. Climate and seasonal nature of work

C. Lack of education

D. Political instability

Answer: B. Climate and seasonal nature of work

189. People who are students, homemakers, or not seeking jobs belong to

A. Workforce

B. Labour Force

C. Not in Labour Force

D. Employed Population

Answer: C. Not in Labour Force

190. A. Is not willing to work

A. Is not willing to work

B. Is unable to work

C. Is willing and able to work but cannot find a job

D. Is studying full-time

Answer: C. Is willing and able to work but cannot find a job

191. Open unemployment refers to a situation where

A. People work fewer hours than required

B. People are fully employed

C. People are willing to work but cannot find any job

D. People work only during festivals

Answer: C. People are willing to work but cannot find any job

192. Disguised unemployment is mainly found in which sector?

A. IT and software

B. Agriculture and rural household enterprises

C. Manufacturing industries

D. Financial services

Answer: B. Agriculture and rural household enterprises

193. A. Unemployed / Total Population × 100

A. Unemployed / Total Population × 100

B. Unemployed / Labour Force × 100

C. Employed / Labour Force × 100

D. Labour Force / Total Population × 100

Answer: B. Unemployed / Labour Force × 100

194. Worker Population Ratio (WPR) measures

A. Employed persons as a percentage of working age population

B. Unemployed persons as a percentage of labour force

C. Labour force as a percentage of total population

D. Dependents as a percentage of workers

Answer: A. Employed persons as a percentage of working age population

195. A. Higher national income

A. Higher national income

B. Better productivity

C. Wastage of human resources and lower economic growth

D. Increase in exports

Answer: C. Wastage of human resources and lower economic growth

196. Which type of unemployment is hidden and not easily visible?

A. Open unemployment

B. Seasonal unemployment

C. Disguised unemployment

D. Frictional unemployment

Answer: C. Disguised unemployment

197. Working Age Population generally refers to

A. 0–14 years

B. 15–59/64 years

C. 60–80 years

D. Above 80 years

Answer: B. 15–59/64 years

198. Frictional unemployment occurs because

A. Workers lack education

B. Workers are transitioning between jobs or entering the labour market

C. Technology replaces manual jobs

D. Industries shut down due to low demand

Answer: B. Workers are transitioning between jobs or entering the labour market

199. Structural unemployment arises primarily due to

A. Temporary job searches

B. Seasonal demand fluctuations

C. Mismatch between workers' skills and job requirements

D. Natural disasters

Answer: C. Mismatch between workers' skills and job requirements

200. Which of the following is NOT included in unemployment?

A. A graduate searching for a job

B. A worker laid off from a factory

C. A retired person not seeking work

D. A skilled worker unable to find employment

Answer: C. A retired person not seeking work